

Chapter One

Introduction to Accounting

Economic events are visible in personal, institutional in fact in every sphere of the society. The number of these events is many and diversified. Without the proper technique and its application, it is impossible to know the overall impact of these events. It is only accounting that deals with the overall result and impact of those economic events. Various stakeholders both internal as well as external are keenly interested to know about the information of accounts. Therefore, accounting takes initiatives to record and analyze those transactions and report those to its stakeholders.



Environment and Accounting

At the end of this chapter, we will be able to

- Generate idea about accounting
- Describe the objectives of accounting
- Describe the necessity and importance of accounting
- Narrate the history and evolution of accounting
- Identify the users of accounting users
- Explain the roles of accounting in creating sense of value and accountability
- Be interested in keeping accounts in daily, personal, family as well as in institutional activities

Concept of Accounting

Accounting is such a subject by studying which the various financial activities of a person or an institution i.e. expenses paid, receive income, purchase and sale of assets, buying and selling of goods, receive from debtors and pay to creditors etc. are correctly recorded in different books of accounts and determine their actual result after a certain period. In accounting the economic transactions of a business are recorded, classified, and summarized. So, the financial position of a business can be ascertained which will lead towards taking proper decisions. The knowledge of accounting can be used to prepare different types of statement and reports to identify the financial condition of a firm. Therefore, accounting is called the 'language of business.' Accounting is that knowledge which helps us to record, classify and summarize the financial transactions that is eventually helpful to determine the overall financial condition of a person or an institution

Activity: Prepare a probable list of financial functions of an institution.

Objectives and necessity of accounting:

1. Without proper recording of transactions, it is not possible to know the financial condition of a firm. Therefore, the foremost objective of accounting is to record the transactions properly into the books of accounts.
2. One of the main objectives of accounting is to ascertain financial condition and result. It is possible to locate the motion of a business through identifying the profit and loss. Recording all the incomes and expenses properly the profit and loss of a firm can be obtained.
3. The pen picture of financial condition can be seen by calculation the assets, liabilities, and owners equity of a firm.
4. Reducing cost can optimize the objective of a business. Accounting helps to record the expenses properly and thus helps reducing cost.
5. Accounting has no alternatives in controlling the fraud and forgery of a business firm. With proper recording of accounts, we can resist and control fraud and forgery.
6. Helps in informing financial condition to interested group and thus takes correct decision.
7. Financial information of the previous year helps in taking proper steps by making comparative study.
8. Determines the source of internal and external flow of money of various services oriented nonprofit organizations like schools, colleges, hospitals, clubs and societies and ascertain their accounts balance.
9. Govt. accumulates through collecting VAT, duties and taxes and contributes to different regular and development areas. The role of accounting is great in managing smooth functions of govt. Besides, the books of accounts and related documents are useful to a firm in many ways i.e. for bank or taking loan from money lending organization, fixing the sales price of a product,

identifying future activities etc. The necessity of accounting is very much essential for keeping a fine, disciplined and a thrifty/frugal life. Without keeping accounts properly, the pros and cons of an organization can never be identified. Keeping records properly ensures cost control and wastage of a firm and thus attain financial solvency.

Activity: How accounting helps in your daily life?

The origin and evolution of accounting:

From the history of civilization people used to keep records of different important events on the bark of trees, by drawing lines on stones in caves. Later they learnt keeping accounts of stocks and stocks by making marks on the walls at home and making knots with the help of creepers. Gradually the number of population increases, society erupts, exchange system developed, currency was introduced, and trade and commerce was initiated. Purchase-sales, income-expenses and other transactions were recorded mathematically. In 1494, an Italian Mathematician wrote a book entitled 'Summa de arithmetica, geometria, proportioni et proportionalita' (The Collected Knowledge of Arithmetic, Geometry, Proportion and Proportionality) and explained the basic principles of book keeping the double entry system in it.

During the passage of time, progress also occurs in science, technology and in business and as such accounting developed. The stature of business grew from small to large. The use of accounting is visible/ applied in personal and familial life along with commercial, non-commercial, govt. and non-govt., profitable and in non-profitable organizations.

The development of accounting is related to the development of science and technology. Now a day's accounts are kept in computers rather manually. It saves time and labor as well as helps organization taking desired decision.

Activity: How does science and technology improves accounting?

Users of accounting information:



Accounting is known as an information system. Thinking about the internal and external users of accounting reports and records of transactions are kept and statements are published.

Internal Users

- 1. **Owners and managers:** Accountants prepare books of accounts and other necessary documents. The owner as well as manager tries to identify profit and loss and financial condition from this statement. So, future course of action can be ascertained.

External

- 1. **Loan/ credit providers:** Before granting loans to the recipient organization, the credit providers analyze its financial conditions whether it might be able to pay back the loan or not.
- 2. **Govt.:** Authority concerned of the govt. might look into the accounts and check whether organizations pay its rates, taxes, and VAT and for taking necessary measures.
- 3. **Creditors:** Before allowing credit sales, the creditors always want to ensure that the recipients are in a financial state of paying back the due amount. This can only be possible by seeing the records of accounts.
- 4. **Workers and officers:** Workers and officers of organizations take the assistance of the financial statements to know and have their benefits from the profit of the organization. Besides auditors, investors, consumers and other concerned also use accounting information.

Activity: Prepare a separate list of internal and external users of accounting information.

Relation of accounting system with society and environment:

Accounting is not merely used for obtaining profit. Apart from making profit, it also contributes towards society and environment so that it is not affected by that. From the following illustrations, some contribution of accounting towards society and environment can be determined:

- 1. Organizations will contribute towards the resistant of environment pollution and accountant will keep its records. This record will tell us about the consciousness and contribution of that owner towards the society and environment. Especially the oil refinery companies contribute generously towards environment from being polluted.



2. Smoke emitted from industry and factories are injurious towards human and environment. The owner and the accountant spent a lot of money for protecting the environment issues. For this, governments' rules and regulations must be followed.
3. While producing a product hygiene raw materials are used, less electricity is consumed, the sound of electricity must be at a tolerable limit, and garbage should be dumped in proper places. To ensure these some expenses are to be made. Besides allocating this fund, an accountant must also make proper records of those expenses.
4. Every Business organizations have to spend for society as a part social commitment, such as providing scholarship among poor and meritorious students. For this, accounts are to be kept for proper fund allocation.

Activity: Prepare a probable list of expenses of a firm that are beneficial to the society as well as to the environment.

Role of accounting in creating sense of value and accountability:

Value is the combination of long-term beliefs, thought, concept, and perception that unite a specific standard that helps people accepting the right and ignoring the wrong. Accounting helps creating value perception in the following manner:

1. **Exhibit of honesty and responsibility:** If accounting methods are followed properly while keeping accounts, corruption, fraud, and misappropriation of assets could be kept under control thus ensuring clarity in keeping accounts.
2. **Debt repayment consciousness:** Accounting plays a vital role in removing the mentality of becoming a defaulter of loan repayment. Therefore, it instills value perception of not becoming a defaulter.
3. **Creating religious sense of value:** Proper use of god-gifted resources and reducing unnecessary cost are part of religious value. If accounts are kept properly the concept of, 'cut your coat according to your cloth' can be hence practiced in both individual as well as institutional life.
4. **Responsibly towards society and state:** The main sources of income of govt. are VAT, customs, excise and income tax etc. By utilizing the concept of accounting, accounts are recorded properly hence, the dodging of tax pay tendency reduces.
5. **Prevent fraud and forgery:** If proper accounts are kept the chances of fraud and forgery among the officers and the staff reduces at a substantial amount. As such, they become cautious of misappropriation of funds and reduce anomalies.

Accounting in accountability:

If a specific responsibility is assigned to single person, he will only remain responsible for that job. Remain responsible to third party means accountability. The role of accounting is described in keeping this accountability into action:

- a) **Internal accountability of the firm:** In modern decentralized system, people are empowered for income, expense, and investment so that they may focus and concentrate in accumulating result to their higher authority for answering their various queries.
- b) **Accountability towards owners, creditors, and investors:** People involved in bookkeeping and management of a firm must make sure that the prepared statement gives a clear pen picture of the invested amount; the profit earned is in line with the invested profit. If found otherwise regarding economic accountability there can be a case of great anarchy in every economic and non-economic affair.
- c) **Accountability towards Govt.:** Concerned authorities of the Govt. have legal right to see whether govt. rules are being followed properly or not in industry. They need to see whether govt. tax, VAT, and duties are being paid accordingly. Keeping books of accounts properly ensures such accountability.

Exercise

Multiple Choice Questions

1. Accounting -
 - a) Describe relationship with one another in society
 - b) Describe about production systems
 - c) Keep accounts of Goods purchase and sales
 - d) Recording; Classifying and Explaining of all financial transactions
2. How the desired result can be achieved of Business organization?
 - a) By purchasing Assets
 - b) By taking correct decision
 - c) By controlling Expenses
 - d) By purchasing Goods
3. Internal users of accounting information in a Business
 - (i) Owner
 - (ii) Manager
 - (iii) Loan providing Bank
 Which one is correct?
 - a) i
 - b) ii
 - c) i & ii
 - d) i, ii & iii
4. Science & Technology –
 - a) Reduce Accounting
 - b) Makes Accounting expensive
 - c) Restrict the movement of Accounting
 - d) Improve Accounting
5. In which name does Accounting appraise?
 - a) Accounting systems
 - b) Information systems
 - c) Auditing systems
 - d) Statement systems

6. Expected profit of an organization can be achieved by –

- a) Increasing Assets
- b) Decreasing Liabilities
- c) Controlling Expenditures
- d) Increasing Expenditure

7. Example of service providing non-profit organization -

- (i) Education institute
- (ii) Advertising institute
- (iii) Computer repairing centre

Which one is correct?

- a) i
- b) ii & iii
- c) i & ii
- d) i & iii

8. Principal objective of Accounting is -

- i) Determination of financial result
- ii) Control expenditure
- iii) Ascertainment of financial position

Which one is correct?

- a) i
- b) ii & iii
- c) i & ii
- d) i & iii

9. A business can make contribution to the society & environment by-

- i) Using foreign raw materials in production
- ii) Using local raw materials in production
- iii) Giving scholarship among poor & meritorious students

Which one is correct?

- a) ii
- b) ii & iii
- c) i & ii
- d) i & iii

Answer question no. 10 and 11 from the following information:

Dr. Rakib hasan keeps proper records of his clinic's financial transactions. It is possible to calculate his personal income tax easily and quickly. Therefore, income tax authority is satisfied to the process of his keeping accounts.

10. Whose objective is to record transactions correctly?

- a) Business's
- b) Debtors and creditors
- c) Recording Transactions
- d) Accounting's

11. Properly recorded accounts of Dr. Hasan's clinic will help to –

- i. Increase sales
- ii. Increase values
- iii. Determine tax

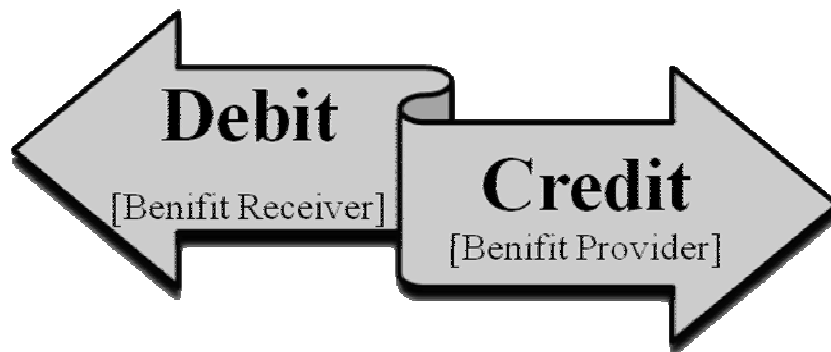
Which one is correct of the following?

- a) i
- b) ii
- c) ii & iii
- d) i & ii

Chapter Three

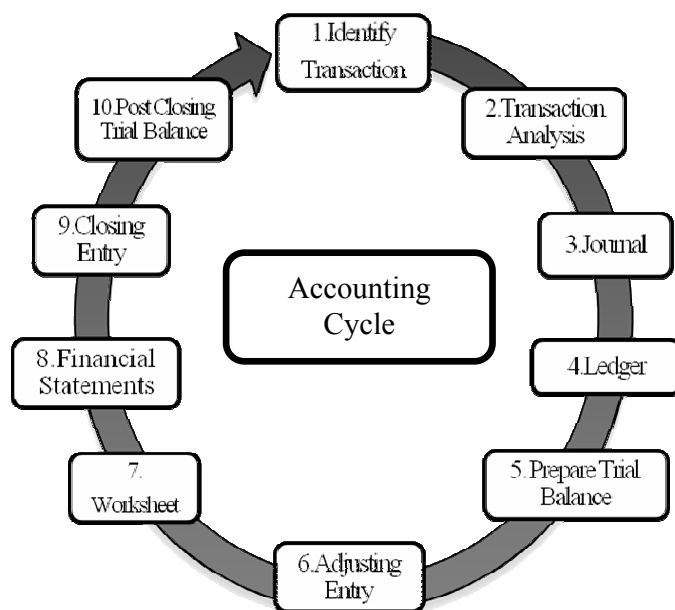
Double Entry System

Throughout the world, Double Entry System is established & known as dependable, scientific, and complete system for keeping accounts in the business. In double entry system each transaction that measured or measurable in terms of money is expressed in dual entity. There is no alternative method of Double Entry System to know the actual result and financial condition of business.



**At the end of this chapter
we will able to-**

- Explain the dual entity concept
- Discuss the concept & features of double entry system
- Explain the advantages of double entry system
- Identify the two party involved in transaction i.e. Debit and Credit
- Explain the various steps involved in Accounting Cycle
- Identify the appropriate book for transaction
- Calculate the profit of business by taking an idea of Single Entry System



Concept of Double Entry System:

The famous Mathematician Luca Pacioli described about the perfect and proper recording system of financial events in 1494. That system is known as Double Entry System. Double entry system is considered as the only complete, reliable and scientific system. There is a hint of dual entity concept for every transaction in this system. There have been two or more accounts in every transaction. These accounts are written in dual entity concept. One is Debit and the other one is Credit. Two parties of transaction i.e. Debit & Credit are recorded in accounts by Double entry system. In this method, the same amount is written for both debit and credit. Therefore, at any time of the year the total amount of debit is always equal to the total amount of credit. The procedure, which is followed to record dual entity of transactions for preparing accounts correctly, that is called Double Entry System.

The concept has been explained with an example:

Salary paid to office staff tk.5,000.

For recording this transaction under double entry system, we need to identify the two parties involved in it. Two accounts involved in it are –

- a) Salary Account
- b) Cash Account

Since salary is an expense to the business, expense has been increase and so salary 5,000 taka will be debited. Again, cash goes out while salary is paid, so cash or asset will decrease and so cash account will be credited.

So, it is seen that the same amount have been debited both for salary and cash account. This is the basic principle of Double Entry System.

Principles or Characteristics of Double Entry System:

The most reliable, scientific, complete and self-sufficient system of accounting is Double Entry System. In double entry, system each transaction measurable in terms of money or money's worth is recorded in a twofold aspect and one party is debited for taking the benefit while other one will be credited for ensuring the same.

Principles or Characteristics of Double Entry System are as follows:

1. **Dual Entity:** In every transaction, there are at least two accounts. While detecting debit and credit concerned accounts are to be identified first then their classification of account is settled. Then debit and credit is ascertained by double entry system.
2. **Debtor and creditor:** In every transaction, beneficent recipient is debtor and benefit giver acts as the creditor.
3. **Making Debit and credit:** The benefit recipient is made debit while the benefit giver is made credit.
4. **Exchanged equal amount:** In every transaction, the amount of debit and credit will be equal.

5. **Comprehensive result:** Since in every transaction the debit and credit are analyzed and recorded in equal amount, it is easy to detect the comprehensive result. The total of debit side should equal to the total of credit side.

Advantages of Double Entry System:

The double entry system is the complete, dependable, scientific, and self-dependent. This accounts system has many benefits. For this large business, organizations use this method for keeping accounts. These benefits are described below:

1. **Complete account:** Since debit and credit of each transactions are analyzed and recorded in equal amount the complete can be obtained.
2. **Ascertain profit-loss:** As the revenue income-expenditures are recorded correctly and completely in this method, the net profit or loss is possible to calculate preparing comprehensive income statement after a particular time.
3. **Verifying arithmetic accuracy:** With this method, the same amount is credit entry is recorded against the debit. Therefore, the arithmetic accuracy can be tested on a certain date by rearing a trial balance.
4. **Ascertain financial position:** Preparing financial statement on a certain date the financial condition of a firm can be obtained.
5. **Finding fault & forgery and means to prevent the same:** Accounts if kept under the method the faults and forgery can easily be detected and thus be prevented.
6. **Cost control:** Under this method, excessive expenses can easily be controlled.
7. **Identifying total debts & credits:** The owner can detect his total dues and credits any time under this method, and take necessary steps.
8. **Ascertain proper amount of tax:** Accounts if kept under this method. The various types of tax like income tax, import-export duty, VAT etc become acceptable to concern authoritative.
9. **Easy for applying:** Each transaction is recorded scientifically analyzing Debit and Credit in double entry system. Therefore, every small & big organization applied this method easily.
10. **Universal acceptance:** Double Entry System being a scientific, complete, faultless and dependable it has been recognized as universally accepted system.

Procedure of Identifying Debit and Credit:

As said earlier, if accounts kept under double system the total amount of debit is equal to total amount of credit. We prepare accounting equation based on this concept. The main elements of accounting equation are asset, liability, and owner's equity. The income of the business increases owner's equity while the expense decreases the same.

Therefore, it can be said that, we see five types of accounts in business:

1. Asset 2. Liability 3. Owner’s equity 4. Income and 5. Expense

Method of calculating debit credit for different accounts’ described below:

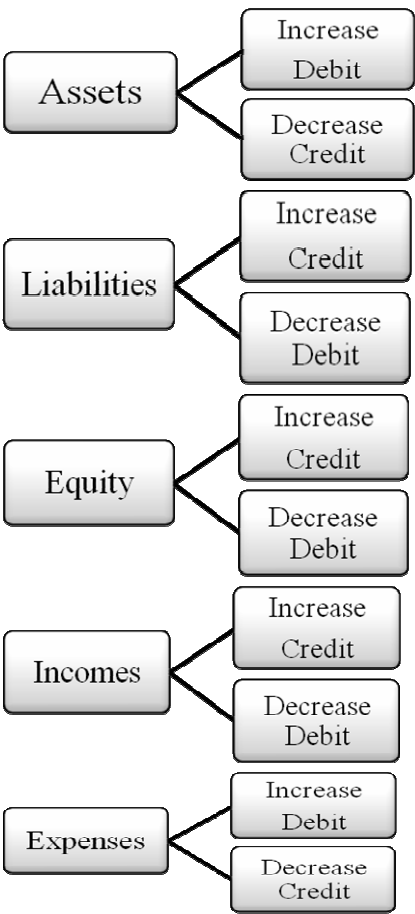
1. Asset: Due to transactions, asset may increase or decrease. For example, purchase of furniture increases asset and selling the same decreases asset. Increase of an asset is debit while a decrease of the same is credit.

2. Liability: Like asset, liability can also be increased or decreased. For example, taking loan from bank increases liability while paying installment of it decreases. The relation of liability is opposite to asset. Therefore, increase of liability is credit while decreases the same is debit.

3. Owners Equity: For starting the business, the owner brings capital. Owner’s equity increases. Again, if the owner withdraws cash from the business the owner’s equity decreases. Owner’s equity is a kind of liability to the business. Because according to the principle of accounting the owner and the business have separate identity. Therefore, like liability if owner’s Equity increases it is credit while decreases the same is debit.

4. Income: The only objective of business is to earn profit and the owner alone has the sole interest over it. Actually, profit is the portion of income, which is more than expense. Therefore, we can say that income increases owner’s equity. Therefore, increase of income is credit while decreases of the same are debit.

5. Expense: Expense is opposite to income. Since income increases owner’s equity, so increase of expense is debit and decrease of the same is credit.



Effects of Double Entry System in Transactions described below with examples:

- 1. Mr. Hasan has started business bringing in Tk. 50,000 as Capital.
- 2. Furniture bought for business Tk. 5,000.
- 3. Employees salary paid off Tk. 6,000
- 4. Goods Purchase Tk. 20,000
- 5. Tk. 25,000 is deposited into Bank.
- 6. Goods sold Tk. 18,000

- 7. Cheque paid for advertisement Tk. 7,000
- 8. Commission received Tk. 3,000.
- 9. Interest received from bank Tk. 1,200.
- 10. Goods sold on credit Tk. 15,000.
- 11. Cheque paid for rent Tk. 6,000
- 12. Tk. 8,000 has withdrawn from bank for business.

Solution:

No	Accounts Head		Taka	Effects of Double Entry System
1	Cash Account	Debit	50,000	As the cash (asset) increased in business, Cash A/c debited. Other side bringing cash to business by owner, owner's equity increased. So, Capital A/c credited
	Capital Account	Credit	50,000	
2	Furniture Account	Debit	5,000	For buying furniture, furniture named asset increased & cash decreased. Therefore, Furniture A/c debited & Cash A/c credited.
	Cash Account	Credit	5,000	
3	Salaries Account	Debit	6,000	For paying salary, expense of the business increased & cash decreased. So, Salary A/c debited & Cash A/c credited
	Cash Account	Credit	6,000	
4	Purchase Account	Debit	20,000	For buying goods, expense of the business increased & cash decreased. So, Purchase A/c debited & Cash A/c credited
	Cash Account	Credit	20,000	
5	Bank Account	Debit	25,000	For depositing cash into bank deposited amount in bank increased & cash in hand decreased. Therefore, Bank A/c debited & Cash A/c credited.
	Cash Account	Credit	25,000	
6	Cash Account	Debit	18,000	For selling goods in cash, both income & cash of the business increased. Therefore, Cash A/c debited & Sales A/c credited.
	Sales Account	Credit	18,000	
7	Advertisement A/c	Debit	7,000	For advertisement expense increased & for cheque issue Deposited amount in bank decreased. Therefore, Advertisement A/c debited & Bank A/c credited.
	Bank Account	Credit	7,000	
8	Cash Account	Debit	3,000	For receiving commission income increased & cash increased. Therefore, Cash A/c debited & Commission A/c credited.
	Commission A/c	Credit	3,000	
9	Bank Account	Debit	1,200	For interest allowing by bank deposited amount in bank increased & income also increased. So, Bank A/c debited & Bank interest A/c credited
	Bank Interest A/c	Credit	1,200	
10	Debtors Account	Debit	15,000	For selling goods on credit, business gets the rights to receive money from debtors and income increased. Therefore, Debtors A/c debited & Sales A/c credited.
	Sales Account	Credit	15,000	
11	Rent Account	Debit	6,000	For paying rent, expense increased & giving cheque bank deposit decreased. So, Rent A/c debited & Bank A/c Credited.
	Bank Account	Credit	6,000	
12	CashAccount	Debit	8,000	Taking out cash from bank, cash in hand increased & bank deposit decreased. Therefore, Cash A/c debited & Bank A/c credited.
	Bank Account	Credit	8,000	

Activity: Calculate the debit & credit of the following transactions identifying accounts in the book of M/S. Joya & Co. –

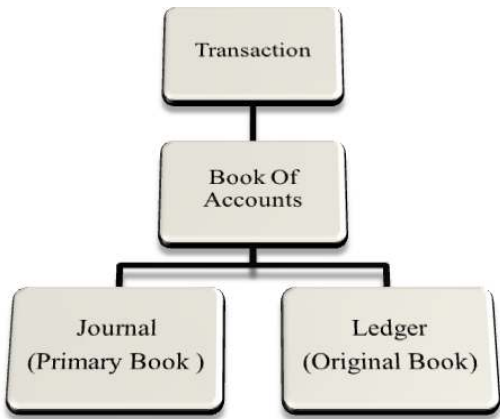
1. Mrs. Joya Mukharjee has made additional investment tk.20,000.
2. Computer purchase for office tk.25,000
3. Office rent paid in advance for three months tk.18,000
4. Sold to Rajon tk.25,000
5. Bank charged tk.1,500
6. Withdrawn from bank tk.6,000
7. Goods purchased on credit tk.15,000
8. Wages paid tk.3,000
9. Purchase return tk.2,000
10. Deposited into bank tk.10,000

Accounts kept under double entry system:

The main accounts, which are kept under double entry system, are shown below:

a) Journal: After transaction occurs then it is identified and debit and credit is ascertained and then it is recorded in a book. This book is known as the primary book of account or Journal. Types of journal are-

- 1. **Purchase Journal:** Goods purchased on credit are recorded in this journal.
- 2. **Sales Journal:** Goods sold on credit are recorded in this journal.
- 3. **Purchase Return Journal:** In sales return journal goods sold on credit, returned are recorded in this journal.
- 4. **Sales Return Journal:** In sales return journal goods sold on credit, returned are recorded in this journal.
- 5. **Cash Receipt Journal:** Transactions that relate to cash receipt are recorded in this journal.
- 6. **Cash Payment Journal:** Transactions relate to cash paid are recorded in this journal.
- 7. **Journal Proper:** Transactions which are not to be recorded in any of the above journals are recorded in journal proper.



b) **Ledger:** The book where all the transactions of journal are included by transferring individually to related accounts with appropriate title is called Ledger.

Accounting cycle:

According to ongoing concept, it is expected that the business will go on forever. The continuous cycle of keeping accounts is known as Accounting cycle.

1. Identifying Transactions:

Analyzing each event, transactions are identified in the first stage of Accounting cycle.

2. Analyzing Transactions:

In this stage, each transaction is analyzed and accounts are identified. For example- Machineries bought for Taka 5,000. Here two accounts are involved. One Machinery Account and the other cash Account.

3. Journalizing: Analyzed accounts record into the primary Book of Accounts as Debit and credit chronologically and the journalizing is done.

4. Transfer to Ledger: In this stage, transactions recorded in journal are recorded into the separate heads of accounts. Different ledgers are prepared for each heads of accounts and the balance of which is determined on a certain date.

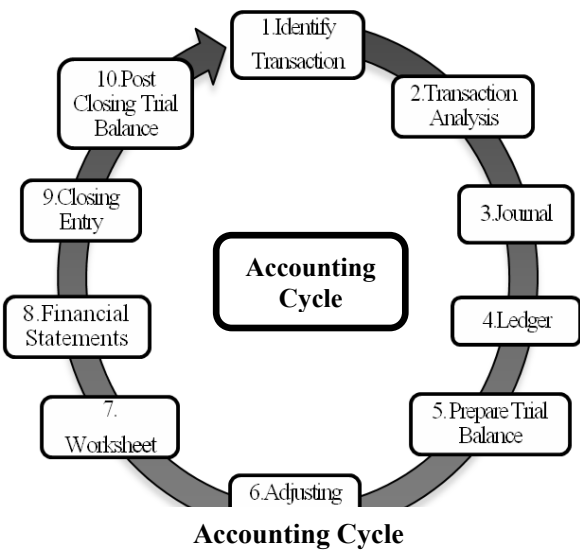
5. Preparing Trial Balance: Trial balance is prepared to testify whether the transactions are recorded accurately to their concerned head of accounts and with the balances of debit and credit of ledger, a trial balance is prepared.

6. Adjusting Entries: To identify the actual financial condition of a business the receivable income, accrued expense, expenses paid in advance and unearned income these items of a particular accounting period are adjusted through adjusting entries.

7. Prepare Worksheet: For the objective of preparing the financial statement easier, an optional multi column statement is prepared. It is known as worksheet.

8. Preparation of Financial Statement: With the financial statement, the amount of profit-loss, assets, liability, and owner’s equity of a business is determined.

9. Closing Entry: The balance of the revenue income, revenue expense, and drawings of a business need to be closed at the end of the year. The income and expense of a business remain closed with the remaining asset, liability, and



owner’s equity the next year starts. Therefore, trial balance after accounting year or opening journal is prepared.

10. Post closing Trial balance or Opening Journal: Income, Expense & Drawing accounts are being closed by closing entry. Next accounting period starts with the remaining balance of Asset, Liability & Owner’s Equity accounts. Post closing trial balance or Opening journal is prepared for this.

The continuity concept of Accounts:

According to going concern concept, a business will go on for an indefinite period. At the end of each accounting year, the functions are continued again with same sequence for keeping accounts. Therefore, at the end of current accounting period consecutively next accounting period starts and recording of accounts starts newly. Therefore, it is observed that subject matters related to accounts are continued each year consecutively. This is the continuity of accounts.

It is mentionable that, according to accounting cycle, at the beginning of each accounting period, all assets are being debited and all liabilities are being credited which were shown in the last year’s statement of financial position for starting the journey to the new accounting period.

Single Entry System:

Single entry system is suitable for businesses, which are small, and the transactions are limited. In this method in some transactions only one party, double in others while none is recorded in the remaining ones. Actually, single entry system is not at all a scientific system. In this method, though some accounts related to asset and liability are kept but preservation for the class of income and expense is never emphasized. The following formula /method are applied for determining the profit and loss of the business.

$$\text{Profit/Loss} = \{(\text{Closing Capital} + \text{Drawings}) - (\text{Opening Capital} + \text{Additional Capital})\}$$

$$\text{Opening Capital} = \text{Total opening assets} - \text{Total opening liabilities}$$

$$\text{Closing Capital} = \text{Total closing assets} - \text{Total closing liabilities}$$

The difference is considered as profit when the total amount of closing capital & drawings is bigger than the total amount of opening & additional capital and as loss when it is smaller.

Mrs. Shahela khatun is a small businessperson. Following information are extracted from her accounts book.

	<u>01/01/2012</u>	<u>31/12/2012</u>
Total Assets	1,20,000	1,50,000
Total Liabilities	35,000	55,000

In 2012 her additional capital tk.20,000 and total drawings tk.30,000

Solution:

Opening Capital

= Total opening assets –Total opening liabilities

= (1,20,000 - 35,000) = 85,000

Closing Capital

= Total closing assets –Total closing liabilities

= (1,50,000 - 55,000) = 95,000

Profit/Loss

= {(Closing Capital + Drawings) - (Opening Capital + Additional Capital)}

= {(95,000+30,000) - (85,000+20,000)}

= (1,25,000 - 1,05,000)

= 20,000

∴ Amount of Profit = 20,000 Taka

Activity: Palash kumar pal is a businessperson of grocery shop. His capital was tk.70,000 on 1 January 2012. His amount of drawings tk.15,000 and he didn't bring any additional capital in this year. On 31 December 2012 total assets & total liabilities were tk.1, 20,000 & tk.30,000 respectively. Calculate the amount of Profit/loss.

Exercise

Multiple Choice Questions

1. Double Entry System is a –
- a) Reporting system

b) Financial Statement preparation system

c) Recording system

d) Debit and Credit determining system
2. The features of Double Entry System are-
- i) It has two parties; Receiver and Giver

ii) Total amount of Debit will be equal to total amount of Credit

iii) Receiver is Debit and Giver is Credit.

Which one is correct?

- a) i & ii

b) ii & iii

c) i & iii

d) i, ii & iii

Considering the following information answer questions no. 3, 4 & 5:

Mr. Subir Roy keeps the purchase book, sales book, bills receivable book, bills payable book etc. for his business institution. Beside this, he records the discounted entries in other way, because he has clear concept about accounting. Then he prepares the financial statement for knowing about the financial position of the business. And this is how, he operates his business continuously.

3. In purchase book, Mr. Subir Roy records-
- a) Credit purchase

b) Credit sales

c) Cash purchase

d) Purchase return

4. Mr. Subir Roy records the discounted entries in the-
- a) Cash book
 - b) Sales return book
 - c) Bills receivable book
 - d) Journal proper
5. Why is opening entry needed for Mr. Subir?
- a) To follow the accounting cycle
 - b) To start the next accounting year
 - c) To justify the arithmetical accuracy
 - d) To know the financial position of current year
6. Generally, what type of accounts is not kept in Single entry system?
- i) Asset
 - ii) Income
 - iii) Expense
- Which one is correct of the following?
- a) i
 - b) i & ii
 - c) ii & iii
 - d) i & iii
7. Which one is correct?
- a) Opening capital = opening total assets - closing total assets
 - b) Closing capital = opening total liabilities + closing total liabilities
 - c) Opening capital = opening total assets - opening total liabilities
 - d) Closing capital = opening total assets + closing total assets
8. Which one is used a rough working for financial statement?
- a) Trial balance
 - b) Adjusting entries
 - c) Closing entries
 - d) Works sheet
9. Which sequence is correct?
- a) Trial balance, adjusting entries, works sheet, financial statement
 - b) Adjusting entries, trial balance, financial statement, works sheet
 - c) Works sheet, trial balance, adjusting entries, financial statement
 - d) Trial balance, works sheet, adjusting entries, financial statement
10. If opening capital is tk.70,000 and closing capital is tk.90,000, what is the amount of profit or loss?
- a) Profit tk.20,000
 - b) Loss tk.20,000
 - c) Loss tk.70,000
 - d) Profit tk.90,000
11. Which one is the principle of Double Entry System?
- a) Purchase increases Debit, income decreases Credit
 - b) Expense increases Debit, Income decreases Credit
 - c) Receiver is Debit and Giver is Credit
 - d) Receiver is Credit and Giver is Debit

12. Now-a-day's base of accounting is

- i) Cost accounting system
- ii) Single entry system
- iii) Double entry system

Which one is correct of the following?

- a) i
- b) ii
- c) iii
- d) i & iii

From the following information, answer the questions no. 13, 14, & 15

On 1st June 2012 Mr. Ishmam started a fast food shop with stock of goods of tk.55,000 at Baily Road in Dhaka. The following transactions occurred in his business in that month:

June 05	Sold goods to Shahed tk.5,000;
June 12	Goods purchased tk.12,000;
June 20	Sold goods on credit tk.35,500;
June 23	Cash received from Rafi tk.5,400;
June 28	Goods returned to seller tk.3,400.

13. Which transactions will be recorded in the journal proper of Mr. Ishmam?

- a) Sold goods in cash
- b) Sold goods on credit
- c) Goods returned to seller
- d) Started with stock of goods

14. In which book the transactions occurred on June 05 and 20 will be recorded?

- a) Purchase journal
- b) Purchase return journal
- c) Sales journal
- d) Sales return journal

15. Mr. Ismam will prepare on returning goods -

- a) Debit note
- b) Credit note
- c) Debit voucher
- d) Credit voucher

Creative Questions:

1. Mr. Shaymol Chandro is a clothes trader. His business is situated at Islampur in Dhaka. He kept the all of books under double entry system. On December, 2011 The following transactions occurred in his business:

Dec-1	Cash brought in tk.7,00,000 into the business as capital
Dec-12	Clothes purchased on credit tk.25,000
Dec-23	Furniture purchased in cash tk.60,000
Dec-24	Salary paid to employee Roton tk.8,000
Dec-31	Commission received in cash tk.6,000

- a) What is the total amount of goods purchased on December?
- b) Determine the Debit and Credit of the above transactions of Mr. Shaymol Chandro.
- c) Record the above transactions in the different primary books of Mr. Shaymol Chandro.

2. Mr. Shahidul Islam does not maintain the books of accounts. On 1 January, 2011 Total assets of his business was tk. 2,00,000 and Liabilities tk.80,000. He newly invested tk.30,000 in the business in this year. In that year, he withdrew tk.15,000 from the business. On 31 December, 2011 assets and liabilities of his business were:
- Cash tk.50,000; Furniture tk.40,000; Debtors tk.30,000; Stock of goods tk.70,000; Bank Loan tk.20,000 and Creditors tk.25,000.
- Determine the amount of opening capital of Mr. Shahidul Islam.
 - Determine the amount of closing capital of Mr. Shahidul Islam.
 - Determine the amount of profit or loss of Mr. Shahidul Islam on 2011.
3. On 1 March, 2012 Ms. Kushi started a confectionery shop with Cash tk.2,40,000; Machinery values of tk.56,000 and goods values of tk.21,000. The following transactions are available in March, 2012:
- | | |
|----------|---|
| March 03 | Goods purchased from Kashem tk.34,000 |
| March 06 | Sold biscuits to Jahid tk.15,000 |
| March 07 | Shop rent paid tk.6,500 |
| March 10 | Sold goods in cash tk.25,000 |
| March 17 | Goods purchased in cash tk. 5,000 |
| March 19 | Sold cake tk.6,000 |
| March 21 | Flour purchased from Rasy tk.7,500 |
| March 28 | Owner withdraw from the business tk.4,500 for own use |
- What is the amount of Total Sales Ms. Kushi?
 - Determine the debit and credit form the transactions that occurred on 1, 3, 7, & 10.
 - Show the effect on accounting equation (with proper format) form the transactions, which occurred on 6, 17, 19, & 28.
4. On 1 January, 2012 Mr. Alam started a computer training centre and photocopier shop with Cash tk.5,00,000; Furniture values of tk.25,000 ,goods values of tk.55,000 and Bank Loan tk.85,000. The following transactions are available in that month:
- | | |
|------------|---|
| January 02 | Office rent tk.12,000 |
| January 10 | Paper purchased tk.5,000 |
| January 12 | Ink of photocopier machine purchased tk.7,000 |
| January 20 | Wages paid tk.1,500 |
| January 25 | Training allowance received tk.25,000 |
- What is the amount of Mr. Alam's opening capital?
 - Show the account's classification of (with proper format) the above transactions.
 - Determine the debit and credit from the above transactions of Mr. Alam for the month of January.